

additional benefit is that *contributions* can be accessed prior to age 59 and a half without penalty. A Roth IRA allows for tax diversification and more flexibility when developing strategies to withdraw money.

Frugality, Flexibility, and Wealth

Let's reinforce a concept that should now be apparent. There are two common features that those who *Choose FI* have that allow tremendous tax saving opportunities:

1. A relatively low-cost lifestyle creates a margin between earning and spending which allows using tax-advantaged investing accounts.
2. Investments create tax-friendly income, providing more margin and flexibility.

People trapped in the conventional lifestyle of spending all they earn have little margin and little accumulated wealth. This limits tax planning options. This is common to those following the standard path through life. Average people complain about the tax code, but those who *Choose FI* take the time to understand it, then use it to their advantage.

Finding the Sweet Spot